



INSURANCE AND PENSIONS COMMISSION



QUARTERLY REPORT FOR FUNERAL ASSURERS

FOR THE QUARTER ENDED 31 MARCH 2018

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1. Executive Summary

- 1.1 The number of registered and operating funeral assurers in the market was 9 as at 31 March 2018. There were no new registrations or cancellations of operating licences during the quarter under review.
- 1.2 All 11 registered and operating life assurance companies were also writing funeral assurance business. However, this report only covers the performance of the 9 dedicated funeral assurers mentioned above.
- 1.3 Funeral assurers reported total gross written premium of \$10.39 million for the quarter ended 31 March 2018, which reflects a 6.91% growth from \$9.72 million reported in the comparative quarter in 2017. On the other hand, life assurers reported gross written premium, in respect of funeral assurance business, amounting to \$37.73 million for the quarter under review. An analysis of funeral assurance business written by life assurers is found in the 2018 first quarter life assurance report.
- 1.4 The funeral assurers reported a very low uptake of reinsurance as evidenced by an industry average retention ratio of 99.95%. The Commission urges players to enter into reinsurance arrangements to protect their balance sheets in times of bad claims experience.
- 1.5 The asset base for funeral assurance industry players stood at \$74.10 million as at the 31 March 2018, reflecting a 3.25% increase from \$71.70 million reported as at 31 December 2017.
- 1.6 The funeral assurance industry average compliance with prescribed assets ratio stood at 2.12% as at 31 March 2018, which below the regulatory minimum of 7.50%. This is despite the Commission's numerous calls for funeral assurers to comply. The Commission is now taking stern measures to enforce compliance by regulated entities.
- 1.7 There were five (5) undercapitalised funeral assurance industry players as at 31 March 2018. These are the same players which were undercapitalised as at 31 December 2017.
- 1.8 Total profit after tax increased marginally from \$1.96 million in the first quarter of 2017 to \$1.97 million in 2018.
- 1.9 Total claims incurred decreased by 8.08% from \$2.34 million for the quarter ended 31 of March 2017 to \$2.15 million during the quarter under review.

- 1.10 As at 31 March 2018, the funeral assurance industry had current ratio of 211% and working capital of \$25.42 million, which indicates that the industry has adequate liquidity to cover liabilities as they fall due.
- 1.11 The outlook for the industry remains positive and the Commission challenges players to be innovative and take advantage of the Commission's micro insurance thrust to develop new products targeted at new markets.
- 1.12 The Table below summarises key financial highlights for the funeral assurance industry as at the 31 March 2018, as well as the comparative period.

Table1: Key Performance Indicators

Performance Indicator	Mar-17	Mar-18	Growth
GPW	\$9,721,000	\$10,393,000	6.91%
Total Gross Claims	\$2,339,000	\$2,150,000	-8.08%
Management Expenses	\$4,692,000	\$4,455,000	-5.05%
Commissions	\$769,000	\$846,000	10.01%
Total Costs	\$7,800,000	\$7,451,000	-4.47%
Net Profit	\$1,962,000	\$1,974,000	0.61%
	Dec-17	Mar-18	
Total Assets	\$71,769,000	\$74,103,000	3.25%
Total Liabilities	\$36,441,000	\$38,173,000	4.75%
Capital to liability Ratio	97.00%	94.00%	-3.00%
Prescribed Assets	\$1,140,000	\$1,572,000	37.89%
Prescribed Asset Ratio	1.59%	2.12%	0.53%

2. Performance in Terms of Business Written

- 2.1 Total gross written premium by funeral assurers amounted to \$10.39 million for the quarter ended 31 March 2018, which translates to a 6.91% growth from \$9.72 million reported for the comparative period in 2017 as shown in table 2 on the next page.
- 2.2 A total of 6 funeral assurance players reported growth in gross written premium ranging from 1.78% to 19.05% as shown in table 2 below.

Table 2: Trend in Gross Written Premium Per Company (\$ 000)

Name of Company	Mar 2017	Mar 2018	Growth
1. Doves	4,014	4,705	17.21%
2. First Funeral	1,728	1,568	-9.26%
3. Foundation	256	267	4.30%
4. Moonlight	3,032	3,086	1.78%
5. Orchid	21	7	-66.67%
6. Passion	231	275	19.05%
7. Ruvimbo	121	140	15.70%
8. Sunset	29	22	-24.14%
9. Vineyard	289	323	11.76%
Total	9,721	10,393	6.91%

- 2.3 Individual policies continues to be the major component of funeral assurance business as compared to corporate business. For the quarter ended 31 March 2018, 57% of GPW business was from individual business while 43% was from corporate/group business.
- 2.4 The industry's reliance on individual business is supportive of IPEC's Microinsurance framework and the broader National Financial Inclusion Strategy, which targets the lower end of the market. On analysis by type of business, recurring business remains the mainstay of GPW constituting 95% of gross written premium for the quarter under review.
- 2.5 New business contributed only 5% of GPW, with premiums amounting to \$0.59 million.
- 2.6 The situation is not sustainable especially if some of the policies sold by funeral assurers have a maximum premium paying term after which they become paid-up.
- 2.7 This underscores the need for funeral assurers to be innovative and develop new products, as well as exploring emerging distribution channels in order to serve the previously excluded markets.

3. Capitalisation

- 3.1 The current minimum regulatory capital for funeral assurers is \$2.5 million based on adjusted assets and liabilities as prescribed by Statutory Instrument 95 of 2017, which became effective on 25 August 2017.
- 3.2 As at 31 March 2018, the unadjusted capital positions for assurance players ranged from \$0.71 million to \$17.13 million.
- 3.3 A total 4 out of 9 assurers reported capital levels that were compliant with the minimum capital requirement of \$2.5 million as depicted in Table 3 below.

Table 3: Capitalisation Trend Levels

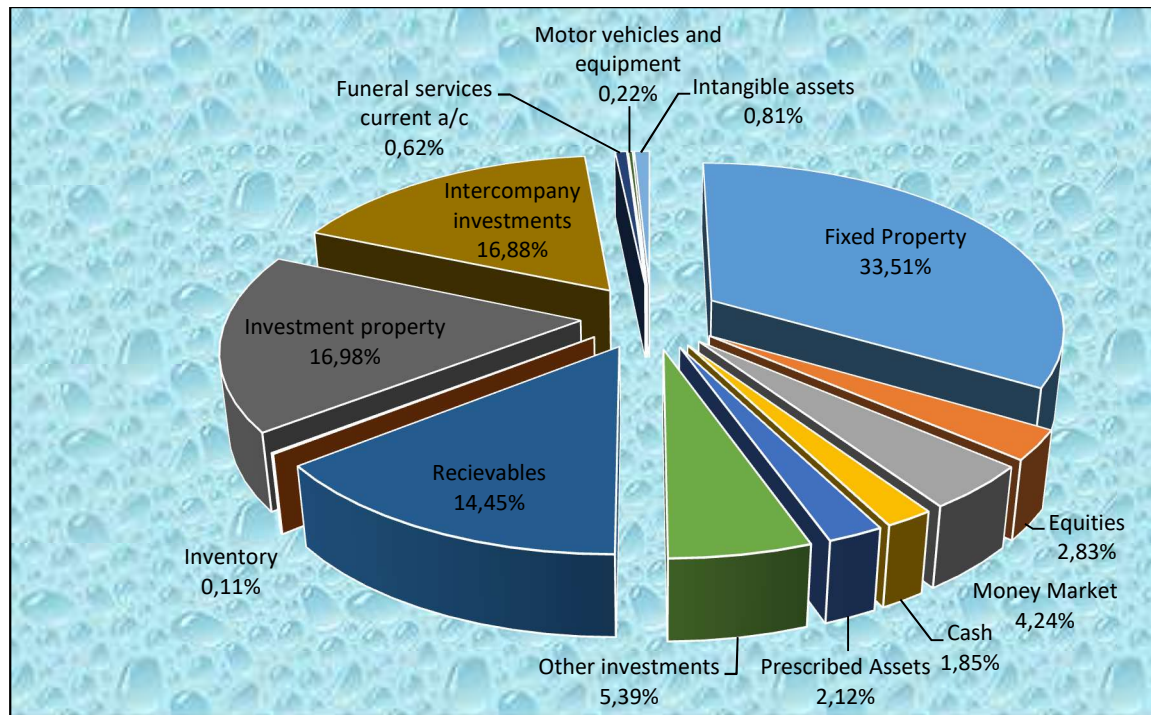
	Capital Position				
Insurer	Mar-17	Jun-17	Sep-17	Dec-17	Mar-18
1. Doves	20,135	21,228	22,289	18,046	17,126
2. First Funeral	6,386	5,264	5,079	5,174	5,353
3. Foundation	918	1 026	907	924	911
4. Moonlight	4,348	3,774	3,552	3,714	4,735
5. Orchid	708	685	688	707	710
6. Passion	644	410	605	556	577
7. Ruvimbo	1,929	1,632	2,212	2,548	2,650
8. Sunset	1,504	1,482	1,353	1,547	1,657
9. Vineyard	1,958	1,972	2,055	2,112	2,211

- 3.1 Capitalisation levels for all assurers stated in this report are based on their unaudited assets and liabilities as at 31 March 2018. These figures were not adjusted in terms of Statutory Instrument 95 of 2017.
- 3.2 At the time of writing this report, a capital verification exercise was underway to determine adjusted capital levels of the industry.
- 3.3 Industry players not meeting the minimum capital position should forthwith submit their compliance roadmaps or risk being de-registered .

4. Asset Quality

- 4.1 The funeral assurance industry's asset base stood at \$74.10 million as at 31 March 2018 reflecting a 3.25% increase from \$71.77 million that was reported as at 31 December 2017.
- 4.2 The asset base for the assurance industry is mainly concentrated in 4 asset classes which are properties constituting 50.49 percent, with operational property constituting 33.51% and investment property 16.98%, intercompany investments of 16.88% and premium receivables of 14.45% of total assets.
- 4.3 Players in the funeral assurance industry should strike a balance between their investment in assets for funeral service provision and liquid assets to pay cash in lieu of services.
- 4.4 In structuring investment portfolios, due regard should be taken of the provisions of Section 58(3) of the Insurance Act [Chapter 24:07], which provides an option to policyholders to get cash in lieu of services that approximate the sum assured.
- 4.5 Moreover, players with products that provide cash benefits such as cash payments for groceries and other cash obligations should ensure that they have enough liquidity to pay-off the obligations as they fall due.
- 4.6 Investments in prescribed assets as a percentage of total adjusted assets remains low at 2.12% compared to the statutory requirement ratio of 7.5%.
- 4.7 As at 31 March 2018, the assurance industry had premium debtors amounting to \$10.71 million, a deterioration from \$3.06 million reported as at 31 December 2017.
- 4.8 Of the above debtors, 32.43% were aged more than 90 days, thus, making them inadmissible for the purposes of regulatory solvency in terms of Statutory Instrument 95 of 2017. Figure 1 below shows assets breakdown by class.

Figure 1: Breakdown of Assets



- 4.9 As shown in figure 1 above, Intercompany investments of 16 % of the total assets are significant and may be an indication that industry players could be siphoning policyholder funds to fund operations of subsidiaries and sister companies. The Commission calls for clear separation of assets supporting liabilities to policyholders and shareholder assets.

5. Reinsurance

- 5.1 The funeral assurance industry reported an average retention ratio of 99.95% for the quarter ended 31 March 2018. High retention ratios may result in financial stress in times of catastrophic events.
- 5.2 The Commission reiterates its call for industry players to enter into reinsurance arrangements and move away from retaining nearly 100% of the insured risks.
- 5.3 Reinsurance is an integral part of proper capital and risk management practices and certainly cushions the insurer in times of unfavorable claims experience.

6. Actuarial Matters

- 6.1 Total technical liabilities for the funeral assurance industry as at 31 March 2018 amounted to \$21.03 million.

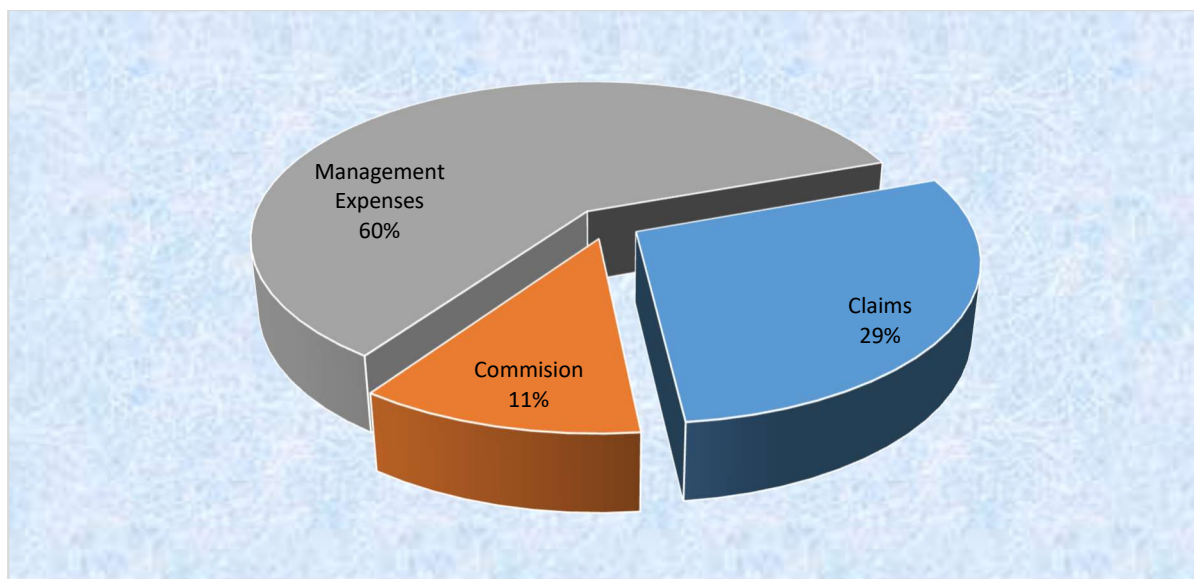


- 6.2 The two main types of technical reserves that the industry had as at 31 March 2018 were Outstanding Claims Reserves (OCR) with an amount of \$10,000 and future policyholder benefits (FPB) with an amount of \$21.02 million.
- 6.3 Liabilities of funeral assurance companies are of medium to long term nature due to the nature of funeral assurance policies, hence, are best matched by assets of a similar nature.
- 6.4 The industry assets maturity profile are matching its liability profile.
- 6.5 Industry players should periodically review their reserving policies to ensure that their technical reserves are always adequate.
- 6.6 The average solvency ratio for the industry as at 31 March 2018 was 170.84%, which is considered adequate when benchmarked with international standard minimum ratio of 25%.

7 Earnings

- 7.1 Notwithstanding an increase of 6% in gross written premium as shown in the earnings section of appendix A1, the funeral assurance industry's net profit after tax increased marginally by 1% from USD1.96 million as at the 31st of March 2017 to USD1.97 million for the quarter ended 31 March 2018.
- 7.2 The funeral assurance industry recorded an average return on equity of 5.5% and return on assets of 2.67% for the quarter ended 31 March 2018.
- 7.3 Management expenses and claims remain major cost drivers for the funeral assurance industry accounting for 60% and 29% of total cost respectively as shown in figure 2 on the next page.
- 7.4 The Commission is concerned with a situation where the bulky of expenses of the funeral assurance industry is attributable to management expenses. This may be an indication of diversion of funds from the funeral assurers' core business since, ordinarily, claims incurred and transfer to reserves should form the bulky of expenses of an insurance company.
- 7.5 The Commission encourages players to rationalise costs, particularly management expenses to ensure that more value is created for policyholders and shareholders.

Figure 2: Cost Distribution for the Quarter Ended 31 March 2018



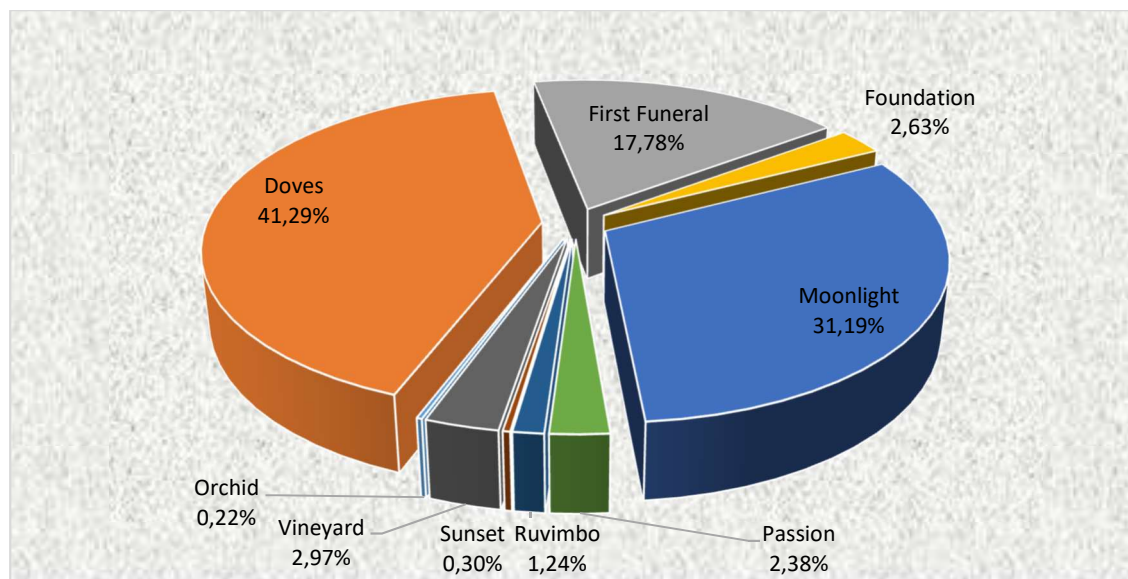
8 Liquidity

- 8.1 As at 31 March 2018, liquid assets that include cash and money market investments constituted 6% of total investment assets.
- 8.2 The funeral assurance industry's average current ratio as at 31 March 2018 stood at 211% indicating adequate levels of liquidity to cover short term liabilities.
- 8.3 However, one-third of the industry players recorded current ratios below 100% making them vulnerable to liquidity risk. (See liquidity section of appendix A1 for more information).
- 8.4 Working capital for the industry as at 31 March 2018 was \$25.4 million, a significant improvement from \$17.2 million reported on 31 December 2017.
- 8.5 The ratio of liquid assets to total assets remains predominantly below 8% for 8 assurers (ranging from 0.05% to 7.66%) except the ratio for Orchid which is 72.8%.
- 8.6 The Commission encourages industry players to periodically review their liquidity positions in order to ensure that they have adequate liquidity to meet claims for cash in lieu of services, groceries and airtime benefits.

9 Market share

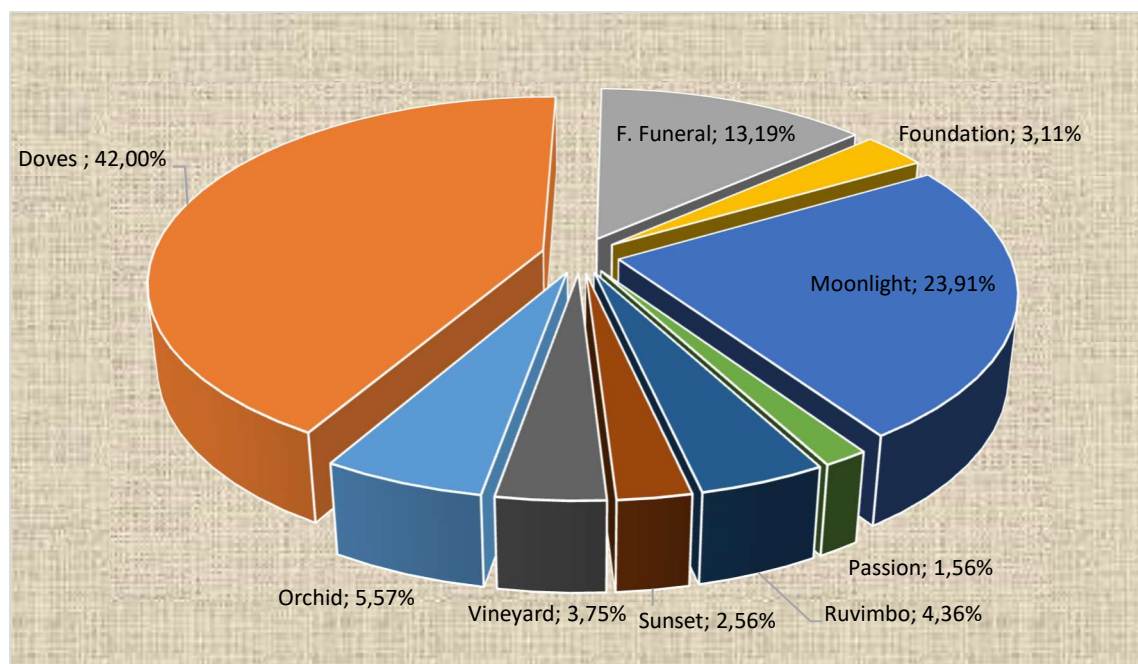
- 9.1 For the quarter ended 31 March 2018 gross written premium for the industry was concentrated in 3 players who account for 90.26%. The remaining 6 players shared 9.74% as shown in figure 3 below.

Figure 3: Market Share by Gross Written Premium



- 9.2 The 3 funeral assurers which dominated the industry in terms of gross written premium also dominated in terms of market share by assets as shown in figure 4 below:-

Figure 4: Market Share Based on Assets



- 9.3 The three dominant companies accounts for 79.1% of the total industry assets. All the 3 companies with sizable share of industry assets reported capital levels above the minimum capital requirement.



10 Appendix



APPENDIX A1. KEY PERFORMANCE INDICATORS FOR FUNERAL ASSURANCE COMPANIES										
	Doves	F. Funeral	Foundation	Moonlight	Orchid	Passion	Ruvimbo	Sunset	Vineyard	Total/ Average
Key Performance Indicator										
Capital Adequacy										
Capital Position (\$ 000)	17 126	5 353	911	4 735	710	577	2 650	1 657	2 211	35 930
Capital Coverage Ratio (CCR)	685,04%	214,12%	36,44%	189,40%	28,40%	23,08%	106,00%	66,28%	88,44%	159,69%
Equity/Total Assets Ratio	55,03%	54,77%	39,51%	26,73%	17,21%	49,87%	82,00%	87,39%	79,65%	48,49%
Solvency Margin	190,88%	137,92%	73,82%	146,50%	22,70%	175,61%	5,28%	1,33%	867,06%	170,84%
Asset Quality										
Total Assets (\$ 000)	31 121	9 776	2 306	17 716	4 125	1 155	3 233	1 895	2 776	74 103
Investments to Total Assets	44,29%	44,13%	5,29%	0,56%	72,73%	4,16%	24,65%	0,05%	5,91%	30,13%
Non-Interest Generating Assets/Total Assets	65,91%	99,58%	77,75%	99,82%	27,20%	77,32%	99,26%	99,95%	97,55%	80,36%
Fixed Assets/Total Assets	11,98%	11,42%	13,70%	65,11%	26,62%	64,24%	53,94%	94,09%	72,48%	32,49%
Prescribed Assets Ratio	0,00%	12,30%	5,29%	0,69%	0,00%	3,89%	0,40%	0,00%	2,52%	2,12%
Premium Debtors/Gross Premium	45,57%	33,42%	27,61%	39,99%	100,00%	49,45%	37,14%	504,55%	148,92%	45,82%
Premium Debtors/Total Assets	6,89%	5,36%	3,21%	6,97%	0,17%	11,77%	1,61%	5,86%	17,33%	6,43%
Reinsurance										
Risk Retention Ratio	100,00%	100,00%	100,00%	100,00%	100,00%	98,18%	100,00%	100,00%	100,00%	99,95%
Actuarial										
Total Assets/Total Reserves	346,87%	251,83%	186,87%	548,14%	131,87%	352,13%	1026,35%	U	1088,63%	352,35%
Earnings										
Profit After Tax (000)	1219	179	5	507	1	4	-8	-9	79	1977
Return on Equity	7,12%	3,34%	0,55%	10,71%	0,14%	0,69%	-0,30%	-0,54%	3,57%	5,50%
Return on Assets	3,92%	1,83%	0,22%	2,86%	0,02%	0,35%	-0,25%	-0,47%	2,85%	2,67%
Loss Ratio	26,46%	29,08%	15,67%	24,43%	14,29%	25,19%	12,14%	13,64%	19,81%	25,51%
Net Commission Ratio	8,86%	17,22%	7,84%	3,21%	0,00%	8,73%	0,00%	4,55%	4,33%	8,14%
Net Expense Ratio	30,41%	34,76%	77,99%	58,39%	71,43%	63,33%	84,29%	54,55%	50,15%	42,88%
Combined Ratio	44185,71%	17,00%	16,90%	994,38%	0,19%	95,64%	87,14%	72,73%	71,52%	71,69%
Investment Income/NPW Ratio	0,00%	0,00%	77,99%	8,36%	0,00%	58,89%	0,00%	31,82%	47,06%	7,56%
Investment Income/Total Financial Assets	0,52%	0,00%	0,00%	6,06%	0,00%	1,16%	0,00%	0,00%	0,52%	0,37%
Liquidity										
Working Capital	12 561	4 084	740	4 877	2 806	162	-78	-127	397	25 422
Current ratio	546,12%	194,45%	137,29%	3777,02%	37,60%	213,99%	22,03%	48,07%	1147,11%	211%
Liquid assets as a percentage of total assets	7,66%	0,42%	2,47%	0,18%	72,80%	7,45%	0,74%	0,05%	2,45%	7,69%
Market Share Based on GPW	45,27%	15,09%	2,58%	29,69%	0,07%	2,65%	1,35%	0,21%	3,11%	100%
Market Share Based on NPW	45,29%	15,09%	2,58%	29,70%	0,07%	2,60%	1,35%	0,21%	3,11%	100%
Market Share Based on Total Assets	42,00%	13,19%	3,11%	23,91%	5,57%	1,56%	4,36%	2,56%	3,75%	100%



APPENDIX A2. STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE YEAR ENDING 31 MARCH 2018 (000)

	Doves	F. Funeral	Foundation	Moonlight	Orchid	Passion	Ruvimbo	Sunset	Vineyard	Total
Gross Written Premiums	4 705	1568	268	3 086	7	275	140	22	323	10 394
Reinsurance Premiums						5				5
Net Written Premiums	4 705	1 568	268	3 086	7	270	140	22	323	10 389
Increase/(Decrease) in UPR	471	7					13	0	9	500
Net Earned Premiums	4 234	1 561	268	3 086	7	270	127	22	314	9 889
Transfer to IBNR									2	2
Outstanding claims				4				5		9
Paid Claims	1245	456	42	754	1	68	17	3	64	2650
Net Commission Incurred	417	270	21	99		24		1	14	846
Technical Result	2 572	835	205	2 229	6	178	110	13	234	6 382
Operating Expenses	1431	545		1544	5	12	118	5	10	3670
Underwriting Result	1 141	290	205	685	1	166	-8	8	224	2712
Management expenses			209	258		159		7	152	785
Investment Income	78			8		1			1	88
Unrealised Gains/Losses			15							15
Other expenses		129	6	35		3		10		183
Other Income		18		107					6	131
Profit Before Tax	1 219	179	5	507	1	5	-8	-9	79	1 978
Taxation						1				1
Profit After Tax	1 219	179	5	507	1	4	-8	-9	79	1977
Transfer to policyholders funds			3							3
Dividends										0
Retained Income	1 219	179	2	507	1	4	-8	-9	79	1974



APPENDIX A3. STATEMENT OF FINANCIAL POSITION FOR FUNERAL ASSURERS AS AT 31 MARCH 2018 (000)										
	Doves	F. Funeral	Foundation	Moonlight	Orchid	Passion	Ruvimbo	Sunset	Vineyard	Total
ASSETS										
Non-Current Assets										
Fixed Assets	3727	1116	316	11535	1098	742	1 744	1783	2 012	24073
Investments	12 582	4314	86	100			797		125	18 004
Investments in Associated Companies										0
Other Non-Current Assets	2 060		1 164				601			3 825
Total Non-Current Assets	18 369	5 430	1 566	11 635	1 098	742	3 142	1 783	2 137	45 902
Technical Assets										
Reinsurers' Share of O/S Claims										0
Deferred Acquisition Cost (DAC)										0
Total Technical Assets	0	0	0	0	0	0	0	0	0	0
Current Assets										
Cash & cash equivalents	1 181	41	21	32	3	38	24		29	1 369
Money Market Investments	1202		36		3 000	48		1	39	4326
Current Prescribed Assets										0
Premium Receivables	2 144	524	74	1 234	7	136	52	111	481	4 763
Intercompany Investments	8 225		456			176				8 857
Inventory and Other Debtors		3781	153	4815	17	15	15		90	8 886
Total Current Assets	12 752	4 346	740	6 081	3 027	413	91	112	639	28 201
TOTAL ASSETS	31 121	9 776	2 306	17 716	4 125	1 155	3 233	1 895	2 776	74103
Liabilities										
Deferred Tax Liabilities	580			1426					28	2034
Future policyholders benefits	8972	3882	1234	3232	3128	328			255	21031
Loans	3375	278		272			31		40	3996
Current Tax provisions				304						304
Gross Outstanding Claims				4				6		10
IBNR										0
UPR					66		315			381
Creditors	877		161	6 847			67			7 952
Amount due to related companies					143					143
Other Creditors	191	262		896	78	251	169	233	242	2322
Total Liabilities	13 995	4 422	1 395	12 981	3 415	579	582	239	565	38 173
SHAREHOLDERS' EQUITY										
Share Capital	1000	412		1500	14	1049	930		211	5116
Share Premium		1 610			1 334				978	3922
Revaluation & Other Reserves	3 276	502	911	2925	268	360	1490	1804	56	11592
Retained Profit	12 850	2830		310	-906	-833	231	-148	966	15300
Shareholders's Equity	17 126	5 354	911	4 735	710	576	2 651	1 656	2 211	35 930
TOTAL EQUITY & LIABILITIES	31 121	9 776	2 306	17 716	4 125	1 155	3 233	1 895	2 776	74 103



APPENDIX A4 GROSS PREMIUM BREAKDOWN FOR THE FUNERAL ASSURANCE INDUSTRY FOR THE QUARTER ENDING 31 MARCH 2018

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Mar-17	Mar-18	Growth (%)	Mar-17	Mar-18	Growth (%)	Mar-17	Mar-18	Growth (%)	Mar-17	Mar-18	Growth (%)	Mar-17	Mar-18	Growth (%)
Doves	11	21	91%	806	638	-26%	43	119	177%	3154	3927	25%	4 014	4 705	17%
First Funer	5	9	80%	1 723	1 559	-10%	0	0	0%	0	0	0%	1 728	1 568	-9%
Foundation	6	4	-33%	250	263	5%	0	0	0%	0	0	0%	256	267	4%
Moonlight	76	80	5%	2956	3006	2%	0	0	0%	0	0	0%	3032	3 086	2%
Orchid	0	-	0%	2	2	0%	0	5	100%	19	0	-100%	21	7	-67%
Passion	4	7	75%	36	43	19%	12	19	58%	179	206	15%	231	275	19%
Ruvimbo	45	23	0%	76	104	100%	0	13	0%	0	0	0%	121	140	16%
Sunset	27	21	0%	2	1	-50%	0	0	0%	0	0	0%	29	22	-24%
Vineyard	78	80	100%	0	75	0%	211	87	-143%	0	81	100%	289	323	12%
TOTAL	252	245	-3%	5 851	5 691	-3%	266	243	-9%	3 352	4 214	26%	9 721	10 393	7%



APPENDIX A5 COST AND EARNING ANALYSIS FOR THE FUNERAL ASSURANCE INDUSTRY FOR THE QUARTER ENDING 31 MARCH 2018

Co. Name	NPW (000)			Claims (000)			Commissions(000)			Management Expenses (000)			Total Costs(000)			Combined Ratio		
	Mar-17	Mar-18	Growth	Mar-17	Mar-18	Growth	Mar-17	Mar-18	Growth	Mar-17	Mar-18	Growth	Mar-17	Mar-18	Growth	Mar-17	Mar-18	Growth
Orchid	21	4 705	22305%	0	1245	100%	0	417	0%	31	1431	4516%	31	3 093	9877%	148%	66%	-82%
Doves	4 014	1 568	-61%	1 068	-15	-101%	355	270	-24%	1 263	545	-57%	2 686	800	-70%	67%	51%	-16%
F.Funeral	1 728	267	-85%	488	35	-93%	288	21	-93%	600	209	-65%	1 376	265	-81%	80%	99%	19%
Foundation	256	3 086	1105%	27	754	2693%	21	99	371%	186	1802	869%	234	2 655	1035%	91%	86%	-5%
Moonlight	3 032	7	-100%	640	1	-100%	80	0	100%	2 167	5	-100%	2 887	6	-100%	95%	86%	-9%
Passion	231	275	19%	61	68	11%	12	24	100%	159	171	8%	232	263	13%	100%	96%	-4%
Ruvimbo	158	140	-11%	21	4	-81%	0	0	0%	89	118	33%	110	122	11%	70%	87%	17%
Sunset	29	22	-24%	8	3	100%	1	1	0%	25	12	-52%	34	16	-53%	117%	73%	-44%
Vineyard	289	323	12%	33	55	67%	12	14	17%	161	162	1%	206	231	12%	71%	72%	1%
Total	9 758	10 393	7%	2 346	2 150	-8%	769	846	10%	4 681	4 455	-5%	7 796	7 451	-4%	80%	72%	-8%



APPENDIX A6 PRESCRIBED ASSETS FOR THE FUNERAL ASSURANCE INDUATRY AS AT 31 MARCH 2018

Company	PA Investments	Total assets	PA ratio	Amount required to be compliant	Variance in compliance
Doves	US\$ 1 202	US\$ 31 121	3.86%	US\$ 2 334	3.6%
F. Funeral	US\$ 20	US\$ 9 775	0.20%	US\$ 733	7.3%
Foundation	US\$ 122	US\$ 2 306	5.29%	US\$ 172	2.2%
Moonlight	US\$ 100	US\$ 17 716	0.56%	US\$ 1 329	6.9%
Orchid	US\$ -	US\$ 4 125	0%	US\$ 309	7.5%
Passion	US\$ 45	US\$ 1 156	3.89%	US\$ 86	3,6%
Ruvimbo	US\$ 13	US\$ 3 232	0.40%	US\$ 242	7.1%
Sunset	US\$ -	US\$ 1 896	0.00%	US\$ 142	7.5%
Vineyard	US\$ 70,00	US\$ 2 776	2.52%	US\$ 208	5.0%
Total	US\$ 1 572	US\$ 74 103	2.12%	US\$ 5 557	5.4%



APPENDIX A7 FUNERAL ASSURANCE INDUSTRY STRUCTURE AS AT 31 MARCH 2018								
Company name	Corporate Agents		Sole Agents		Staff		Branches	
	Mar-17	Mar-18	Mar-17	Mar-18	Mar-17	Mar-18	Mar-17	Mar-18
Doves	0	0	259	90	99	60	24	24
First Funeral	0	0	19	19	46	47	10	10
Foundation	0	0	18	18	26	33	8	8
Moonlight	0	0	70	72	104	118	35	34
Orchid	0	0	0	0	13	8	2	1
Passion	0	0	4	4	4	22	3	3
Ruvimbo	0		6	6	50	30	15	15
Sunset	1	1	8	3	8	7	2	2
Vineyard	3	3	11	11	61	61	5	5
Total	4	4	395	223	411	386	104	102